M365-16 · Retention, Legal Hold & eDiscovery Request Handling

How the two-year retention floor is actually delivered, who may place a hold or export content, on what authority, and how it is evidenced.

Field	Value
Document ID	M365-16
Version	1.0 · Known Good edition, by Kevin Zelman
Catalogue domain	A. Microsoft 365
Operating tier	Tier 4 — IT Management authorises every hold and every export. Tier 3 executes. No other tier acts on this document.
Review cycle	Annually, and on any change to the retention decision.
Why this document exists	A retention commitment is not a mechanism. This document assumes a two-year minimum floor for mailbox and OneDrive content after separation, explains how that floor is actually met, and corrects the most common wrong assumption about it. Change the number to match your own decision.

1. Purpose, and the thing that was nearly got wrong

Say the organization decides that mailbox and OneDrive content — files and email both — is retained for a minimum of two years after separation, with no maximum. That is the right call for an organization that keeps records. It is also, implemented naively, an unbounded licence cost: hold a paid licence for every person who ever left, forever.

The obvious answer is to reclaim the licence and let the platform hold the content. For mail that is exactly right. For files it is exactly wrong, and it is the assumption most first drafts make. This document exists so that the difference is written down once, in the place people will look for it, rather than discovered two years later when somebody asks for a departed colleague’s files and finds an archive tier that expired.

The correction, stated plainly

MAIL survives licence removal at no cost. A shared mailbox needs no licence below 50 GB. An inactive mailbox under a Microsoft 365 retention hold is preserved indefinitely. Both are supported, documented mechanisms. This half is easy.

FILES COST SOMETHING, OR HAVE TO MOVE. An unlicensed OneDrive is not dormant: Microsoft places it in read-only mode after 60 unlicensed days, archives it on its 93rd, and beyond that applies a cumulative 365-day nonpayment clock carrying a deletion risk. Retention policies and legal holds ARE honoured through the archived state — but only while archive billing is enabled. Unpaid, the content is at risk at 365 days despite the hold.

REASSIGNING THE OneDrive TO A NEW OWNER DOES NOT SOLVE IT. This is the intuitive fix and it does not work. Microsoft states that enforcement "doesn't utilize the 'owner' property to validate licensing", so re-pointing the owner does not stop any clock — and that modifying the owner property "results in an unsupported state of the OneDrive account" which "can cause many issues". It does grant a colleague access, which is genuinely useful for the 30-day handover, but it preserves nothing.

THEREFORE, four routes exist and one must be chosen deliberately. §5 sets them out with their costs. The default is to MOVE the records into a departmental SharePoint site inside the 30-day manager window, because it costs nothing, depends on no billing toggle staying correct for two years, and puts the content where the colleagues who need it can find it.

AND ONE OPEN QUESTION THAT MAY REMOVE ALL OF THIS. Microsoft states that these enforcement changes "don't apply to EDU, GCC, or DoD customers." An education tenant is any tenant with more than 50% education licences. If that is you, see §5.2 — it is the cheapest check in the catalogue and potentially the most valuable.

Verified against Microsoft Learn in August 2026. Re-verify at each annual review; Microsoft changes this behaviour and the organization's procedure has to follow it.

Everything else in this document follows from that distinction.

2. Four different obligations, routinely confused

These four words get used interchangeably in tickets and in meetings, and they mean entirely different things with entirely different authorities behind them. Getting them apart is most of the work.

Term	What it actually is	Who authorises	Applies to
Retention	A standing rule that content is KEPT for a defined minimum. Routine, applies to everyone, no trigger event.	Executive leadership, as a standing decision.	Every account, all the time.
Disposition	A deliberate, approved decision to DELETE content that has passed the floor. Never automatic.	Tier 4, with the record owner.	Named content, after two years.
Legal hold	A suspension of deletion for specific custodians because litigation or investigation is reasonably anticipated. Overrides disposition absolutely.	General Counsel or their delegate, in writing. Never IT.	Named custodians, named scope.

Term	What it actually is	Who authorises	Applies to
eDiscovery / search	Finding and, where authorised, EXPORTING content. An investigative act, not a preservation one.	Tier 4 plus the requesting authority (§8).	Named custodians, named scope, named date range.

> **The rule that prevents most of the trouble**
>
> Preservation is cheap and reversible. Export is neither. So a hold can be placed quickly on a reasonable belief, but content is not searched or exported until §8 has been satisfied in writing.
>
> When in doubt, preserve first and argue about scope afterwards. Nobody has ever been criticised for keeping too much for too long; the reverse is not true.

3. The retention floor — how it is actually delivered

The floor is delivered by three different mechanisms depending on the content type. This table is the operational core of the document.

Content	Mechanism	Survives licence removal?	Owner
Mailbox, department needs ongoing access	Convert to a shared mailbox. Block sign-in, reset the password, keep the account object.	Yes, below 50 GB	Tier 3
Mailbox, no ongoing access needed	Apply a Microsoft 365 retention policy set to “retain” or “retain and delete”, then make the mailbox inactive.	Yes — if the hold is applied BEFORE the licence is removed	Tier 3
OneDrive — institutional records	MOVE to the departmental SharePoint site inside the 30-day manager window. Retention policy applies to the site.	Yes, once moved. Left in place, only on a paid route — §5.	Manager, with Tier 2
OneDrive — personal residue	No retention obligation. Left in place; expires with the platform.	Not applicable	Manager decides
SharePoint site content	Site-scoped retention policy. Already the right shape.	Yes	Site owner (M365-10)
Teams chat and channel messages	Tenant retention policy — see §6. This is currently the weakest link.	Yes, once set	Tier 3

4. Mail: shared mailboxes and inactive mailboxes

4.1 Choosing between them

- Convert to SHARED where a named colleague or department needs to read the mail — a departing caseworker whose cases continue, a role mailbox that was never a role mailbox, an account manager whose clients are still writing.
- Make INACTIVE where nobody needs routine access and the obligation is purely to keep. This is the default for most separations.

- A shared mailbox can be made inactive later. An inactive mailbox cannot be casually re-opened. When the answer is unclear, convert to shared — it is the reversible option.

4.2 Shared mailbox conversion — the four conditions

1. Confirm the mailbox is under 50 GB. An unlicensed shared mailbox is capped at 50 GB. Above that, or where an in-place archive or litigation hold is required on it, an Exchange Online Plan 2 licence must remain assigned — and that is a cost decision under M365-20, not a technical detail to be discovered afterwards.
2. RESET THE PASSWORD and confirm sign-in is blocked. Microsoft is explicit: if the password is not reset, the original username and password continue to work on the shared mailbox after conversion. A converted mailbox still answering to the leaver's old credentials is not offboarded, it is a shared credential with a forwarding address.
3. Do not delete the user account. The account object anchors the shared mailbox. Deleting it destroys what it anchors. Disable; never delete (ACC-01 §7.2).
4. IF THE ORGANIZATION IS IN EXCHANGE HYBRID: run Set-RemoteMailbox -Identity -Type Shared on-premises as well. Converting only in Exchange Online causes directory synchronisation to revert the mailbox to a regular mailbox, which then disconnects. Microsoft states that permanent loss of the mailbox contents can occur if these steps are not completed within 30 days. Whether the organization is still in hybrid at the time of any given separation is a question Tier 3 answers before the conversion, not after.

> **Verify this once, on a test account, before the first separation is processed under the floor**
> Create a test mailbox with known content. Convert it. Remove the licence. Wait a week. Confirm the content is still there and still searchable. Record the result as a permanent project record (M365-20 §9). This is a Tier 3 task and a prerequisite to publishing ACC-01 (ACC-01 §9.2). It takes an afternoon and it is the difference between a policy and a hope.

4.3 Inactive mailboxes — the sequence that matters

1. Apply the hold FIRST. A Microsoft 365 retention policy configured to retain, or to retain and then delete, is the recommended mechanism. A delete-only policy is not a hold and will not preserve anything.
2. Confirm the hold is applied and reporting. Do not proceed on the basis that the policy exists somewhere in the tenant; confirm it covers this mailbox.
3. Only then remove the licence. If the licence is removed from a mailbox before the hold is in place, the mailbox is no longer searchable — which means it can no longer be placed on hold, found, or exported. This failure is silent and irreversible.
4. An in-place archive attached to the mailbox is disabled immediately on licence removal, with a 30-day grace period. Where the archive holds content that matters, either the licence stays or the archive content is dealt with before reclamation.

5. Files: why OneDrive needs a decision

This section exists because the intuitive answer is wrong, and the second-most intuitive answer is also wrong. The obvious approach is that a OneDrive behaves like a mailbox: strip the licence, the content sits there dormant, retention policy holds it, somebody restores it if needed. The refinement most administrators reach next is that reassigning the OneDrive to a new licensed owner keeps it alive. Neither is how the platform behaves, and both failures are slow enough to be discovered long after the decision was made.

5.1 What the platform actually does to an unlicensed OneDrive

Microsoft's documented behaviour	What it means for the organization
Cleanup and retention for a OneDrive begin when the user account is DELETED from Entra ID. "No other action causes the cleanup process to occur, including blocking the user from signing in or removing the user's license."	This catalogue disables rather than deletes leaver accounts (ACC-01 §7.2), and rightly so. So the deletion pipeline never starts — but the unlicensed-account pipeline below does, and it is the one that matters.
Unlicensed OneDrive accounts are placed in READ-ONLY mode after 60 unlicensed days and ARCHIVED after 93. "Neither admins nor end users have access to their content unless an admin takes a supported action."	Two months after reclamation the OneDrive stops accepting changes; three months after, nobody can reach it without a deliberate admin action. It appears fine for the whole of the first two months.
A cumulative 365-day NONPAYMENT clock applies. Past 365 unpaid days the account is subject to deletion. Day 275: "the account is no longer available in eDiscovery."	The two-year floor is not survivable on the unpaid path. And the organization loses the ability to find the content in eDiscovery nine months in, which is well before the floor expires.
Retention policies and holds ARE honoured — "when billing is enabled for unlicensed OneDrive accounts." Unpaid, accounts "will be subject to deletion 365 days after being unlicensed even if retention policies, settings, or holds exist."	A hold does protect the content, and does block an administrator from deleting a held account. What it does not survive is nonpayment. The condition is billing, not licensing.
Enforcement "doesn't utilize the 'owner' property to validate licensing." Modifying the owner property "results in an unsupported state of the OneDrive account" and "can cause many issues for the account."	Reassigning the OneDrive to a colleague grants access — which is genuinely the documented way to reach a former employee's files — but stops no clock, and takes the site into a configuration Microsoft does not support. Useful for the 30-day handover; useless as retention.
Purview eDiscovery and Content Search remain discoverable against archived content, and export does not require manual reactivation.	Between day 93 and day 275 the content is still findable for a legal matter even though nobody can browse it. Beyond day 275 it is not.

5.2 The EDU exclusion — check it, because it may change what the rest of this section is for

> **Education, GCC and DoD tenants may be excluded from unlicensed-OneDrive enforcement**
>
> Microsoft's guidance on unlicensed OneDrive accounts states, twice: "These changes don't apply to EDU, GCC, or DoD customers." It defines an education tenant as any tenant with more than 50% education licences.
>
> IF YOU HOLD THE EXCLUSION, the read-only-at-60-days, archive-at-93 and deletion-at-365 milestones in §5.1 do not apply. An unlicensed OneDrive is not on a clock, and the paid routes in §5.3 are not needed to meet the retention floor. Have somebody with tenant admin rights confirm it, record who determined it and when, and ask for it in writing at the next licensing renewal, so the basis is on file when that person has moved on.
>
> WHAT STILL HOLDS. The exclusion is derived from licensing, so it lasts as long as the licensing does. If the licence mix falls below the 50% threshold, or Microsoft narrows the exclusion, every milestone in §5.1 becomes live again and applies retroactively to accounts already unlicensed. That makes it a standing item for the annual review rather than a closed one.
>
> IF YOU DO NOT HOLD IT, which is most businesses and nonprofits, the milestones in §5.1 apply in full, and the default route in §5.3 is how the floor is met at no cost.
>
> EITHER WAY, THE RECOMMENDATION IS THE SAME. Moving institutional records to the departmental SharePoint site remains the default in §5.3, now for its own reasons rather than for preservation: a personal site named after somebody who left is invisible to the colleagues who need what is in it, sits outside the department's own permissions and retention model, and is governed by nothing in this catalogue. The exclusion removes a risk; it does not make a dead OneDrive a good place to keep institutional records.

5.3 The four routes, with their costs

The first of these is the standing answer. The other three are paid fallbacks: needed if you do not hold the §5.2 exclusion and records were left in place, and kept on file if you do, because the exclusion is licensing-derived and could lapse.

Route	How it works	Assessment
MOVE the records (default)	Institutional content is moved into the departmental SharePoint site inside the 30-day manager window. A site-scoped retention policy holds it.	ADOPTED AS DEFAULT. Costs nothing, depends on no billing toggle remaining correct for two years, and is what Microsoft itself recommends for an account without an active owner. Above all it puts the content where colleagues can find it, instead of in a personal site named after somebody who left. This is the outcome M365-12 was written to make cheap.

Route	How it works	Assessment
Extend the tenant active-storage period	Set-SPOTenant -UnlicensedOneDriveAccountsActiveStoragePeriod 730. Supported range 93–3,650 days.	NOT REQUIRED where the §5.2 exclusion holds, because there is no archive clock to extend. Otherwise, a way to keep unlicensed OneDrives active for longer.
Pay for archive	Enable billing for unlicensed OneDrive accounts. Archived accounts then honour retention policies, settings and litigation holds. $0.05/GB/month storage; $0.60/GB one-time reactivation.	NOT REQUIRED where the §5.2 exclusion holds. Otherwise a documented fallback, not a planned cost. The prices were correct in August 2026; check them before relying on them.
Keep a licence	Leave the licence assigned for the full retention period.	Rejected as a general rule. It is the unbounded cost that the retention floor would otherwise create and this document exists to avoid. Retained as an option for a single named custodian under a specific legal hold, on Tier 4 approval, where it is the least bad answer.

Turning billing on and off to game the clock is explicitly out of bounds: Microsoft states that the 365 days of nonpayment is cumulative and that billing settings “should not be used to bypass retention enforcement”, which “is not supported under the service terms.” The organization does not do this.

> **The consequence for M365-12, and it is a significant one**
>
> The OneDrive institutional data boundary is no longer a matter of tidiness. It is the route by which the organization’s retention decision is delivered for files at zero cost, and the reason none of the paid routes above has to be the default.
>
> If people keep departmental records in personal OneDrives, every separation becomes a bespoke rescue project standing up a new site and re-permissioning content under time pressure — and every one of them now also carries a licensing decision. If they do not, the 30-day window is a formality and nobody notices it happening.
>
> M365-12 should be read as a retention control, and communicated as one.

6. Teams chat, channel messages and Copilot artefacts

Retention decisions usually say “mailbox and OneDrive”. They rarely say Teams, and Teams is where a great deal of institutional decision-making now happens.

- Teams one-to-one and group chat messages are stored in the participants’ mailboxes and are governed by a Teams-specific retention policy, not by the Exchange one.
- Channel messages are stored in the Team’s group mailbox and follow the Team, not the person. They survive a member’s departure.

- Files shared in a chat live in the sender's OneDrive — which means §5 applies to them, and a leaver's chat attachments are subject to exactly the same problem as the rest of their OneDrive.
- Meeting recordings and transcripts follow the same rule: organiser's OneDrive for a meeting, the Team's site for a channel meeting (M365-08).
- Copilot interaction history and AI-generated meeting notes are retainable content and should be brought under an explicit policy rather than left to a default (M365-18).

> **An open item with a named owner**
> A tenant Teams retention policy shorter than two years silently defeats the retention floor for one content type, and nobody would notice until it mattered. A 90-day chat policy is a common default.
> ACTION: Tier 3 to report the current Teams retention configuration to Tier 4 within 30 days of this document being approved, and to raise it to meet the two-year floor or record why not.
> This is the highest-priority open item in this document.

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7. Legal hold — authority, scope and the preservation notice

7.1 Who may place one

A legal hold is placed on the written instruction of the organization's General Counsel or their named delegate. IT does not decide that litigation is anticipated, and IT does not decline a properly authorised hold on grounds of inconvenience or cost.

Absent counsel, the Head of IT may place a hold on a reasonable belief and must obtain ratification within two business days. Preservation is reversible; the failure to preserve is not.

7.2 What a hold instruction must contain

- The named custodians. "Everyone in Finance" is not a custodian list; it is a request for one.
- The subject matter, in enough detail that scope can be judged.
- The date range, or an explicit statement that there is none.
- The content types in scope: mail, files, Teams messages, or all.
- The authorising person and the date.

7.3 Executing it

1. Tier 3 applies the hold to the named custodians' mailboxes, OneDrive and, where in scope, the relevant sites and Teams.
2. Where a custodian has already separated and their OneDrive is unlicensed, escalate immediately to Tier 4 — §5 applies and the content may already be at risk. This is the case where paid archive is considered.
3. Suspend any disposition activity affecting the custodians, and record that it has been suspended.
4. Issue the preservation notice to each custodian, drafted by counsel, telling them plainly not to delete anything in scope. A hold the custodian does not know about still permits them to delete on the client side in ways that create argument later.

5. Record the hold in the hold register: custodians, scope, authority, date applied, and the person who applied it.
6. Review every open hold quarterly with counsel. Holds that are never released become the reason nothing can ever be deleted, which is its own governance failure.
7. Release only on written instruction from the same authority that placed it, and record the release.

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8. eDiscovery and content search — who may ask, and who may run it

Searching a person's mail and files is an intrusive act. It is sometimes necessary and it is sometimes lawful, and it is never routine. This section defines the only routes by which it happens at the organization.

Requesting authority	Legitimate basis	What is additionally required
General Counsel or outside counsel	Litigation, subpoena, regulatory demand, or a formal investigation.	Written instruction under §7.2. Tier 4 authorises execution.
Human Resources, at Director level or above	A formal workplace investigation with a case reference.	Written request, plus Head of IT authorisation. HR does not receive tenant access; IT executes and delivers a defined export.
The Head of IT	A security incident where the account itself is the subject (GOV-03).	Recorded on the incident record. Scoped to the incident, not to the person.
A manager	Business continuity — recovering a specific document a departed or absent colleague held.	Not an eDiscovery matter. Use delegated access or a targeted restore under ACC-14. A manager never receives a search of a subordinate's mailbox.
Anyone else	None.	Declined, and referred to this section.

8.1 Execution

1. Tier 4 authorises. Tier 3 executes. The two are never the same person on the same request — if the department is small enough that they might be, the Head of IT authorises and a second named person witnesses.
2. Scope the search as narrowly as the request permits: custodians, date range, keywords. A tenant-wide search with no date bound is almost never the right instrument.
3. Run the search and report the hit count before exporting anything. Counsel frequently refines scope once the volume is visible, and an export that was never needed is an intrusion that was never justified.
4. Export only what is authorised, to a defined location with defined access, and record who received it.
5. Record the whole action: requester, authority, scope, date, executor, volume, recipient. This record is itself retained for seven years.
6. Do not discuss the existence of a search with the custodian or with colleagues. Where the custodian must be notified, counsel decides that, not IT.

9. What IT will not do

Stated positively, so that a person under pressure has something to point at.

- IT will not search or read a person's mail or files at the request of their manager, their colleague, or their department, however senior. The routes in §8 are the only routes.
- IT will not build a disciplinary case. IT produces evidence when properly authorised; it does not draw conclusions about a person's conduct (ACC-13).
- IT will not delete content on request where a hold applies, and will say so plainly rather than quietly not doing it.
- IT will not confirm or deny the existence of a hold or a search to anyone outside the authorised chain.
- IT will not accept a verbal hold or a verbal search authorisation. Every one of these is in writing, and "in writing" means an email from the authorising person, not a message relayed by a third party.

10. Service levels

Activity	Commitment (per GOV-06)
Legal hold, properly authorised	Applied same coverage day. This is P1 regardless of the capacity state — a hold is never deferred.
Preservation at separation (routine)	With the ACC-01 leaver procedure.
eDiscovery search, scoped and authorised	Hit count within 3 coverage days; export within 5 coverage days of scope confirmation.
Urgent search under a court-ordered deadline	P1 to Tier 4. The deadline governs; other work moves.
Hold release	Within 2 coverage days of written instruction.
Quarterly hold review	Produced by Tier 4 with counsel.

11. Records

Record	Held in	Retention
Hold register: custodians, scope, authority, applied, released	IT governance record	Permanent
Preservation notices issued	Counsel record, copy on the hold register	Life of the matter + 7 years
Search and export log: requester, authority, scope, volume, recipient	IT governance record	7 years
Verification that content survives licence reclamation	Project record	Permanent — it underpins ACC-01 §7.3
Disposition approvals after the two-year floor	IT governance record	Permanent

Record	Held in	Retention
Annual re-verification of Microsoft platform behaviour	IT governance record	7 years

12. Related documents

ID	Title	Relationship
Data Policy	Your information security policy	The governing policy. This procedure operates under it.
Disposal Policy	Your sensitive data disposal policy	Governs physical and media disposal; §2 disposition aligns to it.
ACC-01	Account Lifecycle	§7.3 is the retention decision; this document is how it is delivered.
ACC-12	Separation, Retiree & Former-Member Disposition	What happens to the person; this document is what happens to the content.
ACC-13	Account Suspension for Misuse	§8 is the lawful route when a case needs evidence.
ACC-14	Mailbox & Calendar Delegation	The business-continuity alternative to a search.
M365-12	OneDrive Institutional Data Boundary	§5 — the boundary rule is a retention control.
M365-15	Data Classification & Handling	What classes carry longer obligations.
M365-20	Licence Assignment & Reclamation	Appendix A is the reclamation sequence this document mandates.
GOV-03	Security Incident Response	§8 route for incident-driven search.

Appendix A — The order of operations at separation

The order is the control. Each step is safe only because the one before it has been done.

#	Step	Why the order matters
1	Sign-in disabled, sessions and tokens revoked (ACC-01 §7.2)	Access and data are separate questions. Close access first.
2	Manager granted delegated access to the OneDrive for 30 days	Nothing else preserves the files. This window is the mechanism.
3	Institutional records MOVED into the departmental SharePoint site	The window closes at 60 unlicensed days when the OneDrive goes read-only, and at 93 when it is archived. Later is not free.
4	Manager confirms IN WRITING that nothing institutional remains, OR a §5.3 paid route is approved	After archiving nobody can browse it to check. The confirmation is the evidence.

#	Step	Why the order matters
5	Mailbox converted to shared, OR retention hold applied then made inactive	A hold applied after licence removal is not possible — an unlicensed mailbox is not searchable.
6	If Exchange hybrid: Set-RemoteMailbox -Type Shared run on-premises	Without it, dirsync reverts the conversion; contents can be lost within 30 days.
7	Password reset; sign-in block confirmed on the converted mailbox	The original credentials keep working on a shared mailbox until the password is reset.
8	Content confirmed present — verified, not assumed	The first of two verifications. This one catches configuration errors.
9	Licence removed (M365-20)	Only now. Everything above is a precondition of this step.
10	Content confirmed STILL present after licence removal	The second verification. This is the one that matters.
11	Account object retained, disabled, not deleted	It anchors the shared mailbox. Deleting it also starts the OneDrive cleanup clock.

If any step cannot be completed, stop at that step and escalate to Tier 4. Do not proceed to step 9 with an unresolved step above it. The failure mode is silent and there is nothing to restore from.

Appendix B — Hold and export request form

Submitted to the IT management address. An incomplete form is returned, not actioned on a best guess.

Field	Entry
Request type	Legal hold / Hold release / Content search / Export
Requesting authority	Name, role, and the basis under §8
Matter or case reference	
Custodians	Named individuals. Not a department.
Content types in scope	Mail / OneDrive / SharePoint site / Teams messages / All
Date range	Or explicit statement that there is none
Subject matter / keywords	
Any custodian already separated?	YES requires immediate Tier 4 escalation — §5 may already apply
Recipient of any export	Named person, and where it will be held
Authorised by	Name, role, date. Written authorisation attached.
— IT USE — Tier 4 authorisation	Name, date
— IT USE — Executed by	Name, date, hit count, volume exported

Part of the Known Good SOP Catalog by Kevin Zelman, written for small IT shops, contractors and consultants, career-changers and help desk technicians. Adapt the names, tiers and times to your own shop: the times here are cushion, not a promise.